

BUR pitch deck

PITCH — BUR — PROPOSED VERDICT: NO ENTRY at \$4.30 — watch with a price gate at ~\$3.00–\$3.10; reopen there or on an independent sale validating the marks (PROPOSED — PENDING ADJUDICATION)

What we believe

Burford Capital is a litigation funder: it pays legal costs for other people's lawsuits in exchange for a share of the winnings. Its single biggest asset was its claim in the YPF case against Argentina, where a New York trial court had awarded a judgment of roughly \$16 billion. On 2026-03-27 the appeals court (the Second Circuit) reversed that judgment 2–1, and Burford cut the value it carries the claim at to \$160 million — about 7 cents on the roughly \$2.6 billion it carried before, a ~93% write-down ([Burford's own statement](#)). The stock fell from a 52-week high above \$14 to a low of \$3.59 and now sits at \$4.30, down 69% from the high.

Both of our benches agree on the core fact: the remaining ~\$3.1 billion portfolio of case investments is valued by management's own models, not by market prices, and the stock at \$4.30 trades at roughly 1.38 times tangible book value of ~\$3.12 per share. That is a 38% premium to numbers only management can produce, paid immediately after the company's highest-conviction position lost its appeal. On top of that: debt of \$2,403M against equity of \$819M (about 2.9x leverage), \$733M of cash, and — the finding our defense bench dug up that actually *strengthened* the prosecution — \$2,068M of undrawn funding commitments to cases, of which \$1,296M are contractually obligated. That obligated amount alone is about 1.8x the cash on hand, and the first debt maturity comes in 2028.

Our conclusion: the business is not broken (no covenant triggers, no near-term debt wall, and the latest quarter generated more cash than any quarter since early 2025), but at \$4.30 you are paying a premium for marks that cannot currently be independently verified, while large cash obligations sit ahead of the first refinancing. This is a price problem, not a fraud or solvency finding — so the answer is a specific lower price, not a permanent no.

What the market believes

The market has already repriced this severely and has had every piece of our information twice: the appeal reversal was public on 2026-03-27 (stock closed \$4.14 that day), and the second-quarter results — including the write-down detail and the strong cash quarter — were published 2026-08-06 ([company release](#)). At \$4.30 the stock is up only ~4% from the crash-day close, 4.5 months later. The market is effectively saying: the remaining book is worth somewhat less than management says (a premium of 38% over stated book is actually modest by this company's historical standards), YPF is nearly worthless (management itself now prices the remaining appeal odds at roughly 7 cents on the old mark), and the

leverage is survivable. Several brokers still cover the name, so this is not an ignored orphan where mispricing goes unnoticed.

Why we might have edge

- **We did the work the headline sellers didn't.** The prosecution bench's strongest framing — “the first independent referee cut the marks 93%” — turned out to be wrong on inspection, and the defense proved it: the trial court *was* an adversarial referee and Burford won there; outside investors bought pieces of this same claim at arm's length years ago and lost alongside management. What failed was a legal coin-flip, not the valuation machinery. That distinction is why this is a price gate and not a kill.
- **Precedent for buying “stale” panic.** We have made money before buying assets marked down on headlines the fundamentals didn't support (our Oakland municipal bond purchase at 84 is the house example). “The market has seen it” is an assertion, not evidence.
- **A concrete validation trigger.** If Burford sells any portfolio of case interests to an outside buyer at or above carrying value, the central objection (self-graded marks) dies on the spot — and we'd know before the multiple re-rates.
- **Insider behavior is clean.** The cluster of eight Form 4 filings in June that looked alarming in the raw filing list was checked: all were routine annual share grants to non-executive directors, effective 2026-06-15, with zero sales.

Why it might be priced in

Honestly, most of it likely is. The reversal and the write-down are four-plus months old; the Q2 print with the strong-cash headline is two days old and the stock barely moved. The residual YPF upside (full appeals court rehearing, Supreme Court, treaty arbitration) is priced by management itself at ~\$160M, and rehearings are “rarely granted” by the company's own admission ([Burford's further statement](#)). The bear case is equally well-known: every article about Burford mentions self-marked assets and leverage. What is *not* priced anywhere — because nobody outside can price it — is whether the remaining \$3.1bn book is actually worth \$3.1bn. That uncertainty cuts both ways, and at 1.38x book you are paying to take the optimistic side of it.

What we checked ourselves

Claim	How checked	Found	Confirmed?
YPF claim written down to \$160M after appeal reversal	Burford press statements + Q2 results release	~93% cut from the prior ~\$2.6bn carrying value; 2–1 panel, one dissent	YES
“First adversarial test cut the marks 93%” (prosecution's kill framing)	Defense bench re-examined the case history	Our own bench erred: the trial court had already adversarially validated the claim, and third parties bought in at arm's length pre-2020; the pre-crash mark was itself only ~16 cents on the	BENCH ERROR, corrected

Claim	How checked	Found	Confirmed?
		entered judgment. Reduced from fatal to a sizing/price objection	
Leverage: \$2,403M debt / \$819M equity = 2.9x; a further 15% mark error on the book eats over half of equity	Arithmetic on evidence-pack 10-Q figures, re-run by both benches	Holds	YES
Undrawn funding commitments (prosecution left this as an open gap)	Defense pulled it from the 10-Q	\$2,068M undrawn, \$1,296M contractually obligated — ~1.8x cash, ahead of the 2028 maturity. Filled <i>against</i> the defense's own side	YES
June Form 4 cluster = insider selling risk (prosecution flagged unread)	Defense read the filings via secondary sources	Bench error the other way: all annual director share grants, no sales — benign	YES (benign)
Stock price \$4.30, -69.4% from high, +19.8% off the low	Evidence pack (IBKR gateway); live IBKR re-check attempted but tool permission was denied this session	Rests on the pack per doctrine; both benches declared the tool failure	PACK ONLY
"\$5.2bn of expected recoveries excluding YPF"	Not independently checkable — output of the same internal models	Tagged plausible-only by the prosecution itself; cannot drive a verdict	NO
Next earnings date 2026-11-04	Derived from a data vendor, no company PR found naming it	Unconfirmed	NO

Also declared: direct SEC fetches returned 403 errors for both benches this session, so filing figures rest on the machine-built evidence pack plus company press releases — a known and stated limitation, not a hidden one.

PROPOSED ENTRY BANDS

The courts say **no entry at \$4.30**. These are the reopen conditions, from the benches' own math:

- **Price gate:** $\leq \sim \$3.00 - \3.10 — approximately 1.0x tangible book value *excluding* the \$160M residual YPF asset. At that price you pay nothing for management's optimism; the self-marked-book objection is neutralized by construction.
- **Validation gate (may trigger at higher prices):** an arm's-length sale of portfolio assets to an outside buyer at or above carrying value. This independently confirms the marks and reopens the name regardless of price; re-run the court if it happens above \$3.10.
- **Other mind-changers named by the prosecution bench:** annual cash receipts sustaining $\geq$ \$1bn/yr; the full appeals-court rehearing actually being granted; the 2028 debt maturity refinanced. Any of these warrants a re-hearing, not automatic entry.

- **Sizing if a gate fills:** starter size only. Even at 1.0x book this remains a 2.9x-levered balance sheet with \$1.3bn of obligated funding commitments against \$733M cash — the leverage caps position size no matter how good the price is. This is fairly-paid-risk territory at the gate, not a conviction overweight.
- **Catalyst dates:** next earnings ~2026-11-04 (unconfirmed by the company); rehearing decision on YPF — timing months out, odds low (~7% by management's own carrying value); first debt maturity 2028.
- **Housekeeping per doctrine:** log the \$3.00–\$3.10 gate in the missed-entry ledger so the decision gets graded if the stock runs without us.

ARMED SENSORS

- NONE ARMED — the deck must flag this as a gap

This is a gap. The courts' own reopen conditions imply the following sensors should exist and none are armed:

- **Price alert at \$3.10** (the entry gate) — without it the gate is a wish, not a mechanism.
- **8-K / press-release watch on Burford (CIK 1714174)** for: any portfolio or asset sale to a third party (the mark-validation trigger), and any refinancing of the 2028 notes.
- **YPF appellate docket watch** — en banc rehearing petition outcome and any cert filing; this is the only event that materially revalues the \$160M residual.
- **Quarterly cash-receipts tracker** — the prosecution's $\geq$ \$1bn/yr threshold needs a number pulled every print, not a memory.
- **Earnings-date confirmation watch** — the 2026-11-04 date is vendor-derived and unconfirmed; arm a check for a company PR naming it.
- **Missed-entry ledger entry** for the price gate — required by our own grading discipline and not yet logged.

What remains unverified

- **The size of the 2028 debt maturity** — both benches cite “first wall 2028” but neither confirmed the principal amount (SEC direct access was blocked this session).
- **Burford's realized track record on concluded cases versus their prior carrying values** — the single best piece of evidence either for or against the marks, and the defense bench explicitly declared it an open gap. This should be the first item of any follow-up work.
- **The \$5.2bn expected-recovery figure** — unverifiable by construction; it is the company's own model output.
- **The next earnings date** (2026-11-04, vendor-derived, no company confirmation).
- **Live tape** — the \$4.30 price is from the evidence pack; live broker re-verification was not possible this session.

- **The rehearing outcome itself** — a genuine binary neither bench can predict; both accepted management's ~7% implied odds rather than forming an independent legal view.

Proposed verdict stands as written pending adjudication: this is a valuation objection, so it gates on price rather than killing the name. Nothing enters at \$4.30.